SS II
Chapter-5
MONEY AND ECONOMY

1.Functions of Money
●Medium of Exchange ●Measure of value
●Store of Value ●Means of Deferred Payments

2.Functions of the Reserve Bank of India
●Printing and Issuing Currency ●Bankers' Bank
●Controls the supply of money and credit
●Acts as the government's bank
●Custodian of foreign exchange reserves
●Publication of Reports

3.How does the Reserve Bank of India print and issue currency?
• RBI designs notes, adds security features, prints them and supplies them to banks.
• RBI can withdraw old notes.This is called demonetisation.

4.Who prints coins and one-rupee notes?
• Ministry of Finance, Government of India.

5.Where are currency notes printed in India?
• Nasik (Maharashtra) • Dewas (Madhya Pradesh)
• Mysuru (Karnataka) • Salboni (West Bengal)

6.How does the Reserve Bank act as the bankers' bank?
• RBI gives emergency loans to banks.
• It keeps the cash reserves of all banks.
• It helps banks settle their transactions with each other.

7.Which index is used to measure inflation in India?
●Consumer Price Index (CPI).

8.How does the Reserve Bank of India control credit in the economy?
Quantitative Measures • Change in bank rates
• Change in reserve rates • Open market operations
Qualitative Measures –
• Margin requirement • Moral suasion

9.Define Repo Rate and Reverse Repo Rate.?
Repo Rate:- The interest rate at which RBI gives loans to commercial banks.
Reverse Repo Rate:- The interest rate at which RBI takes deposits from commercial banks.

10.How does the Reserve Bank control inflation?
1. By raising bank rates
• RBI increases interest rates. •People borrow and spend less.
• Money in the market reduces → inflation decreases.
2. By raising CRR
• Banks must keep more money with RBI.
• They have less money to lend, so spending reduces.
• This helps control inflation.

11.How does the Reserve Bank act as the banker to the government?
• RBI keeps the government's money and manages its accounts.
• RBI gives loans and advises the government on financial matters.

12.Define Fiscal Policy and Monetary Policy
• **Fiscal Policy:** Government policy on tax and spending.
• **Monetary Policy:** RBI's policy on money supply and interest rates.

13.Role of RBI as custodian of foreign exchange reserves
• Foreign exchange reserves include foreign currencies , gold. • RBI protects and manages these reserves.

14.Explain the different types of deposit accounts offered by commercial banks?
Savings Deposit:
• Encourages saving. • Low interest rates.
• Money can be withdrawn as needed.
Current Deposit:
• Mainly for business transactions.
• Unlimited daily transactions.
• No interest. • Overdraft facility allows
Term/Fixed Deposit:
• For money not needed immediately.
• Higher interest than savings.
• Premature withdrawal reduces interest.
Recurring Deposit:
• Fixed amount deposited regularly.
• Higher interest than savings, lower than fixed deposits.

15.How do commercial banks provide loans
• Commercial banks give loans to individuals and institutions.
• Banks charge interest on loans
• The difference between these interest rates is the bank's income, called the **spread**.
• Loans are given against collateral like gold, land documents, or salary certificates.

16.Other Functions of banks
•Credit and Debit Cards •ATM services
•Locker facility

17.Banks and Technology
NEFT (National Electronic Fund Transfer): Transfers money using IFSC; makes transactions easier and faster.
RTGS (Real Time Gross Settlement): Transfers large amounts instantly.
Core Banking: Allows transactions from any branch
UPI (Unified Payments Interface): Real-time transfers via mobile apps like Google Pay, Paytm, PhonePe, and Amazon Pay.

18.Objectives of bank nationalisation in India
• Expand banking facilities in rural areas.
• Provide credit to farmers at lower rates.
• Ensure equitable distribution of credit.
• Prevent concentration of economic power in a few

19.Objectives of Co-operative Banks:
• Encourage saving among villagers.
• Protect people from private moneylenders.
• Provide low-cost loans to farmers and businessmen

20.Principles of Co-operative Banks:
* Co-operation * Self-help * Mutual assistance

21.Aim & Goals of Microfinance:
To provide financial services to low-income people, reduce poverty, empower women and marginalized groups, and improve quality of life.

22.Prime Minister Jan Dhan Account Scheme:
To provide bank accounts to all . services for low-income groups, financial literacy, promoting banking habits, and zero minimum balance accounts.

23.Digital Platforms for a Cashless Economy:
• Aadhaar-based Payment System
• E-wallets
• National Financial Switch

Sheela N, HST Social Science, Govt.V&HSS Kulathoor